Retail Sales Analytics

Management has flagged several profit concerns that cannot be explained by sales figures alone. This report digs into the data to find out what is actually driving those concerns — and more importantly, what can be done about them. Five business questions are investigated below, each answered with evidence from the dataset.

Q1 — Why Do Some Categories Have High Sales But Low Profit?

At first glance, all three product categories appear healthy — Furniture, Office Supplies, and Technology are all generating millions in sales. But when we look at how much of that revenue actually becomes profit, the picture changes significantly.

Category	Total Sales	Total Profit	Profit Margin
Furniture	4,110,884	286,782	6.98%
Office Supplies	3,787,330	518,474	13.69%
Technology	4,744,691	663,779	13.99%

What this tells us	Furniture is the problem. Despite being a high-revenue category, it only converts about 7 cents of every sales rupee into profit — while Technology and Office Supplies convert nearly 14 cents. The gap points to either heavy discounting or high supplier and shipping costs eating into margins.

Drilling Deeper — Sub-Category Level

When we go one level further, the situation becomes clearer — and more alarming. Within Furniture, the Tables sub-category is not just underperforming. It is actively losing the company money on every single sale.

Sub-Category	Sales	Profit	Margin	Verdict
Tables	757,034	-64,083	-8.47%	LOSING MONEY
Machines	779,071	58,868	7.56%	LOW
Chairs	1,501,682	141,974	9.45%	LOW
Phones	1,706,874	216,717	12.70%	ACCEPTABLE
Copiers	1,509,439	258,568	17.13%	GOOD
Paper	244,307	59,208	24.23%	BEST

What we recommend	Tables cannot continue as-is. The company should either renegotiate supplier costs, introduce a price floor that ensures at least a 10% margin, or exit the product line. On the other side, Paper (24%) and Copiers (17%) deserve more shelf space and marketing budget — they are quietly doing the heavy lifting on profitability.

Q2 — Are Discounts Negatively Impacting Profit?

Discounts are often treated as a growth tool — give customers a lower price, sell more units, make it up in volume. The data tells a different story. We grouped all orders by their discount level and measured the average profit per order in each group.

Discount Band	Range	Avg Profit per Order	What It Means
None	0%	+61.04	Every order adds value
Low	1–20%	+46.84	Still profitable, but margin shrinks
Medium	21–50%	–56.19	Company loses money on average
High	51–85%	–98.89	Heavy losses on almost every order

What this tells us	The data is unambiguous. The moment a discount crosses 20%, the company stops making money. The discount-profit correlation sits at -0.32 — a meaningful negative relationship. Orders with medium discounts lose an average of 56 per order. High-discount orders lose nearly 100. This is not a pricing strategy. It is a loss generator.

What we recommend	A hard cap of 20% should be applied across all orders, with manager sign-off required for any exception. Blanket promotional campaigns — where discounts are applied without checking individual product margins — should be discontinued immediately.

Q3 — Which Regions Require Business Intervention?

Revenue looks reasonable in most regions on the surface. But profit margins tell a different story. Two regions in particular are operating at margins so thin that a small cost increase could tip them into loss-making territory.

Region	Total Sales	Total Profit	Margin	Status
Southeast Asia	884,438	17,852	2.02%	URGENT
EMEA	806,184	43,898	5.45%	URGENT
South	1,600,960	140,356	8.77%	NEEDS WORK

Caribbean	324,281	34,571	10.66%	MONITOR
Central	2,822,399	311,404	11.03%	MONITOR
North	1,248,192	194,598	15.59%	HEALTHY
Canada	66,932	17,817	26.62%	BENCHMARK

What this tells us	Southeast Asia generates nearly 900,000 in sales but walks away with only 17,852 in profit — a 2% margin that leaves almost no buffer for anything to go wrong. EMEA is in a similar position. Meanwhile, Canada is running at 26.6% margin, proving that strong profitability is achievable. The gap is too large to be just market conditions — something structural is wrong in the low-performing regions.

What we recommend	Southeast Asia and EMEA need an immediate audit — specifically, their discount approval rates and shipping cost structures. Canada's model should be studied and used as the benchmark. Discount approvals in the two problem regions should be escalated to management level until margins recover above 10%.

Q4 — Which Products Should Receive More Marketing Focus?

Not all products deserve equal attention. We classified every product in the catalogue into one of four groups based on two simple questions: is it selling well, and is it making money?

Group	What It Means	Count	What to Do
Star Products	Selling well and making money	1,372	Keep the momentum going
Hidden Gems	Making good money, but not enough people know about them	522	Invest in marketing now
Review Pricing	High sales volume, but margins are thin or negative	524	Find and fix the cost leak
Consider Discontinuing	Low sales and low profit	1,370	Evaluate whether to exit

The Hidden Gems — High Margin, Low Visibility

The most immediately actionable group is the Hidden Gems. These 522 products are quietly delivering strong profit margins — in some cases close to 50% — but are not getting the sales volume they deserve. A few examples:

Product	Approx. Margin	Quick Win
Tops Green Bar and Southworth paper lines	~50%	Homepage feature, email campaign

Xerox paper lines (20, 1890, 223, 1918)	~49%	Bundle with printer purchases
Strathmore envelope range	~49%	Add to stationery kits
Avery label products	~50%	Upsell at cart for Office Supplies orders

What this tells us	These 522 products require no new development and no cost restructuring — they are already profitable. The only thing missing is visibility. A targeted marketing push could meaningfully improve overall profitability without needing to win a single new customer.

What we recommend	Redirect at least 30% of the current marketing budget toward hidden gem products. Feature them in email campaigns and on the homepage, and bundle them with star products as natural add-ons at checkout.

Q5 — Are There Customers Generating High Sales But Low Profit?

A customer who generates a lot of revenue is usually assumed to be a good customer. But when we cross-reference sales figures with actual profit, a troubling pattern emerges. 23 customers are generating above-average sales — while simultaneously producing negative profit. In plain terms, the company is paying to serve them.

Customer	Total Sales	Total Profit	Margin
Grant Thornton	20,226	–3,578	–17.69%
Denise Monton	22,051	–2,598	–11.78%
Sean Braxton	20,514	–1,897	–9.25%
Michelle Tran	17,779	–1,788	–10.06%
Henry Goldwyn	17,168	–1,598	–9.31%
Becky Martin	27,173	–1,097	–4.04%
Phillina Ober	19,099	–1,026	–5.37%
Corinna Mitchell	15,580	–955	–6.13%
Jack Garza	15,708	–922	–5.87%
Helen Abelman	16,930	–762	–4.50%

What this tells us	Grant Thornton brings in 20,226 in sales, but leaves behind a loss of 3,578. That means the company would have been better off not making those sales at all. The most likely cause is personalised discount arrangements that were approved without a profitability check. Revenue without margin is just activity, not business.

What we recommend	All 23 of these accounts should have their discount privileges removed immediately. Going forward, a minimum 5% profit margin rule should be enforced at the customer account level — no exceptions without documented manager approval. High-sales customers should be reviewed quarterly to ensure they remain profitable.

Summary of Findings

Issue Investigated	Root Cause	Key Number	Priority
Furniture: high sales, low profit	Thin category margin	6.98% margin	HIGH
Tables: money lost on every sale	Negative sub-category margin	–8.47% margin	URGENT
Discounts eroding profit	No cap or approval process	–99 avg at High band	URGENT
SE Asia & EMEA near breakeven	Cost and discount issues	2.02% and 5.45%	HIGH
High-margin products undermarketed	Lack of visibility	522 products, ~50% margin	MEDIUM
23 customers cost the business money	Unchecked discount deals	–17.69% worst case	HIGH